

		terms as may be just, an amendment to any pleading” The court’s discretion will usually be exercised liberally to permit amendment of the pleadings. <i>Howard v. County of San Diego</i> (2010) 184 Cal.App.4th 1422, 1428. The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified. <i>Id.</i> As noted, neither defendant filed an opposition and thus neither defendant has identified any reasons the motion should not be granted or any prejudice from permitting plaintiff to file a second amended complaint at this juncture. Plaintiff to give notice and to file and serve a clean (non-redlined) copy of the second amended complaint attached as Exhibit A to the Hyun Declaration (ROA 185) by July 2, 2026.
2	City of Santa Monica v. The Insurance Company of the State of Pennsylvania, et al. 2022-01261243	<u>Defendant TIG Insurance Company’s Motion to Stay</u> <u>Defendant Santa Monica Police Activities League’s Joinder</u> Defendant TIG Insurance Company (TIG) moves for an order staying this action for one year. Plaintiff City of Santa Monica (City) opposes the motion, as does defendant The Insurance Company of the State of Pennsylvania (ICSOP). For the following reasons, TIG’s motion is denied. Defendant Santa Monica Police Activities League (PAL) filed a joinder in TIG’s motion on June 15, 2026, i.e., 7 court days before the hearing. ROA 927. A joinder is timely if it is served and filed within the time for noticing the particular motion at issue. <i>See, e.g., Persson v. Smart Inventions, Inc.</i> (2005) 125 Cal.App.4th 1141, 1176-1177; <i>Lerma v. County of Orange</i> (2004) 120 Cal.App.4th 709, 719. PAL did not file its joinder within the time for noticing a motion to stay, and its joinder is therefore denied as untimely. TIG argues the court should stay this action for one year because factual issues in this insurance coverage action overlap with the underlying PAL/Uller lawsuits, i.e., the City’s knowledge of Uller’s conduct and the City’s alleged liability for negligent hiring, supervision and retention. TIG states that one of its coverage defenses (the Expected or Intended Injury Exclusion, which precludes coverage for bodily injury “expected or intended from the standpoint of the insured”) requires fact discovery regarding the City’s knowledge of Uller’s conduct, an topic also at issue in the underlying lawsuits. As explained in <i>Great American Ins. Co. v. Superior Ct.</i> (2009) 178 Cal.App.4th 221: “When a declaratory relief action regarding the duty to defend depends on coverage issues, it may be that the resolution of those issues might prejudice the insured in the underlying litigation. ‘For example, when the third party seeks damages on account of the insured’s negligence, and the insurer seeks to avoid providing a defense by arguing that its insured harmed the third party by intentional conduct, the potential that the insurer’s proof will

prejudice its insured in the underlying litigation is obvious.’ (*Montrose Chemical Corp. v. Superior Court*, *supra*, 6 Cal.4th at p. 302, 24 Cal.Rptr.2d 467, 861 P.2d 1153.) Under those circumstances, the proper course of action is to stay the declaratory relief action until resolution of the underlying action. (*Id.* at pp. 301-302, 24 Cal.Rptr.2d 467, 861 P.2d 1153.) However, if the declaratory relief action can be resolved without prejudice to the insured in the underlying action—by means of undisputed facts, issues of law, or factual issues unrelated to the issues in the underlying action—the declaratory relief action need not be stayed. (*GGIS Ins. Services, Inc. v. Superior Court* (2008) 168 Cal.App.4th 1493, 1505, 86 Cal.Rptr.3d 515.)

“A court considering whether to stay a declaratory relief action must therefore consider precisely which issues are to be litigated in order to resolve the declaratory relief action, and whether those issues are related to *factual* issues yet to be litigated in the underlying action. (See *Haskel, Inc. v. Superior Court*, *supra*, 33 Cal.App.4th at p. 980, 39 Cal.Rptr.2d 520.) If the factual issues to be resolved in the declaratory relief action overlap with issues to be resolved in the underlying litigation, the trial court *must* stay the declaratory relief action. If there is no such factual overlap and the declaratory relief action can be resolved on legal issues or factual issues unrelated to the issues in the underlying action, the question as to whether to stay the declaratory relief action is a matter entrusted to the trial court’s discretion.”

Great American Ins. Co., 178 Cal.App.4th at 235-36 (italics in original).

TIG has not demonstrated a stay is necessary here. The cases TIG cites involve declaratory relief actions in which an insured sought to stay an action to prevent prejudice to the insured. See, e.g., *Great American Ins. Co. v. Superior Ct.* (2009) 178 Cal.App.4th 221; *Haskel, Inc. v. Superior Court* (1995) 33 Cal.App.4th 963; *David Kleis, Inc. v. Superior Court* (1995) 37 Cal.App.4th 1035. Here, the plaintiff-insured (the City) opposes a stay.

TIG argues it will be prejudiced if the case is not stayed because it will be unable to obtain discovery necessary to oppose an anticipated summary adjudication motion by the City. Brief (ROA 906) 4:23-27; 11:3-8. As the City notes, the Code of Civil Procedure provides a remedy for a party unable to obtain discovery required to oppose a summary judgment or adjudication motion. Civ. Proc. Code § 437c(h) (“If it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just. The application to continue the motion to obtain necessary discovery may also be made by ex parte motion at any time on or before the date the opposition response to the motion is due.”). TIG does not explain why the remedy provided in section 437c(h) is “impractical, inefficient, and detrimental to the

		defense of the underlying PAL/Uller Litigation.” Reply (ROA 931) at 6:21-22. TIG also has not persuasively explained why the entire action should be stayed. This case involves disputed coverage issues in addition to the applicability of the Expected or Intended Injury Exclusion in the TIG policy. In addition, the City seeks a coverage determination against another insurer (ICSOP), which opposes a stay. ICSOP argues a stay of the action would prejudice ICSOP’s ability to seek to resolve or narrow coverage issues that do not overlap with the underlying lawsuits, including the applicability of a sexual abuse exclusion in two of the ICSOP policies and the method of allocating settlements or judgments between policies where abuse is alleged to span multiple policy periods. ICSOP Opposition (ROA 918) at 4:14-21. TIG does not challenge in its reply ICSOP’s argument that these issues do not overlap with factual questions at issue in the underlying lawsuits. The City’s Request for Judicial Notice (ROA 920) is denied as the document was not material to the disposition of the motion. Plaintiff City of Santa Monica to give notice. <u>Status Conference</u> The court has reviewed the parties’ joint status conference statement filed June 17, 2026 (ROA 935). The status conference scheduled for June 25, 2026 at 2:00 p.m. in Department CX105 remains on calendar.
3	Cortina v. R & D Metal Fabricators Inc. 2025-01452225	<u>Plaintiff’s Motion for Approval of PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff’s motion for approval of an \$80,000 PAGA settlement. Subject to plaintiff’s submission of the documents identified below, the court grants the motion as follows: No enhancement award to plaintiff; \$20,000.00 for attorneys’ fees; \$11,655.20 for attorneys’ costs; \$3,750.00 for settlement administration fees; and \$44,594.80 total PAGA penalties (\$28,986.62 to LWDA). Plaintiff is ordered to submit <u>by July 2, 2026</u> a proposed order and judgment with all exhibits attached (settlement agreement; any amendment(s) thereto; and notice letter). Section III of the notice letter should be revised to state the correct date on which the court approved the disbursements set forth in that section. The final accounting hearing is scheduled for <u>March 11, 2027 at 9:00 a.m.</u> in Department CX105. Plaintiff shall submit a final administrator’s report at least 9 court days before the hearing addressing the status of the settlement administration, including